Absa Bank Kenya PLC

H1 2023 Investor Briefing

Contents

Business Overview

Abdi Mohamed
Chief Executive Officer

Our purpose

Living our purpose through shared value by transforming communities we operate in

Communities

Building upon our commitment to being a responsible corporate citizen, we actively engage with local communities through impactful initiatives that drive positive social change

Through transparent and cooperative relationships with government entities, we actively contribute to the economic growth, aligning our organization with national development goals

Committed to drive digital literacy in schools

- 53 Schools equipped with Computer Labs
- Benefitting over 50,000 pupils

Committed to plant over 10 million trees by 2025

- Partnered with Kenya Forest Services to accelerate tree planting
- Targeting 1.4 million trees this year (607,850 planted)

We are partnering with County Governments across the country to support their financial and non financial needs

Living our purpose by supporting our customers through inclusive financing

Women in Business	Small and Medium Enterprises

Empowering Women-led Businesses

We committed a total of KES 10 billion towards supporting women entrepreneurs aimed at enhancing their access to finance.
400 SHE stars graduands this year

Supporting SMEs'

We have supported over 10,000 SMEs' with Financial and Non-Financial training to grow their businesses

SMEs' Financing

We have implemented Risk Based Pricing to ensure access to credit to customers who would have been locked out

Micro Funding

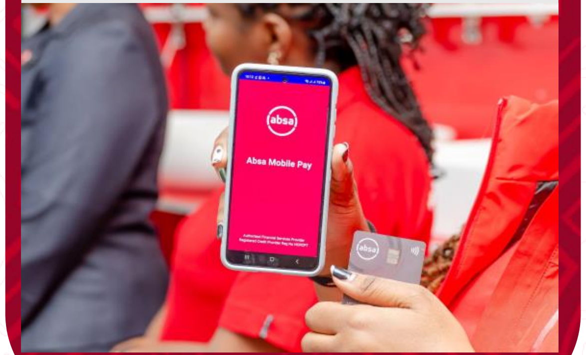
We have advanced KES 9.3 billion micro-loans through our Timiza platform

Living our purpose through sustained innovation towards delivering for the customer

Mobi Tap Payment Solution for SMEs

First-in-the-market payment solution that allows small businesses to accept card-based payments

Empowering SMEs with innovative, speedy, and safe payment solutions to support their growth ambitions



Buy Now Pay Later

First-to-market innovation that will enable our customers to manage their expenses by spreading the cost of their purchases over time

This is a seamless self-service payment option on digital channels

Digital Savings Account

High yield elevated digital experience while saving your money in addition to digital transactional account

Medical Evacuation

We partnered with AMREF Flying Doctors to offer our customers the Maisha Air and Ground Ambulance cover plan across East Africa

Living our purpose towards supporting our colleagues achieve their aspirations

Career Growth

Culture

Care

Contribution

Partnered with Strathmore to Deliver **Future Skills** for Colleagues

Improved Colleague **Experience Index** to 73.4%

Certified **Top Employer** 2-Years in a row

Our Three Focus Area for 2023

Momentum

Sustaining growth Momentum

Prudence

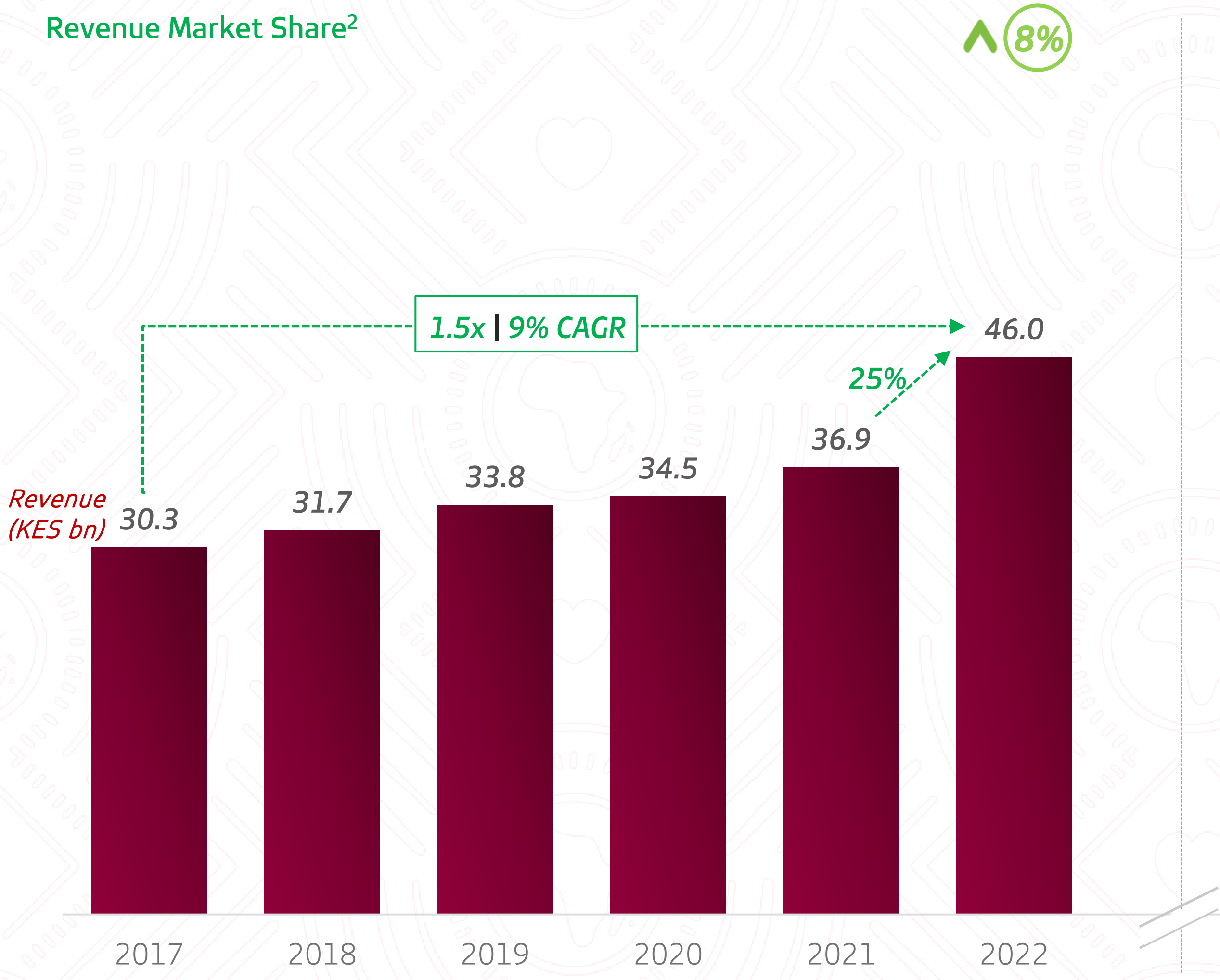
Prudently managing the business through complex environment

Transformation

Readying for the next phase of transformation

On Momentum: Sustaining business growth momentum as we execute our new strategy

We diversified and achieved growth with GTR [1]



We are sustaining momentum in early days of our new strategy

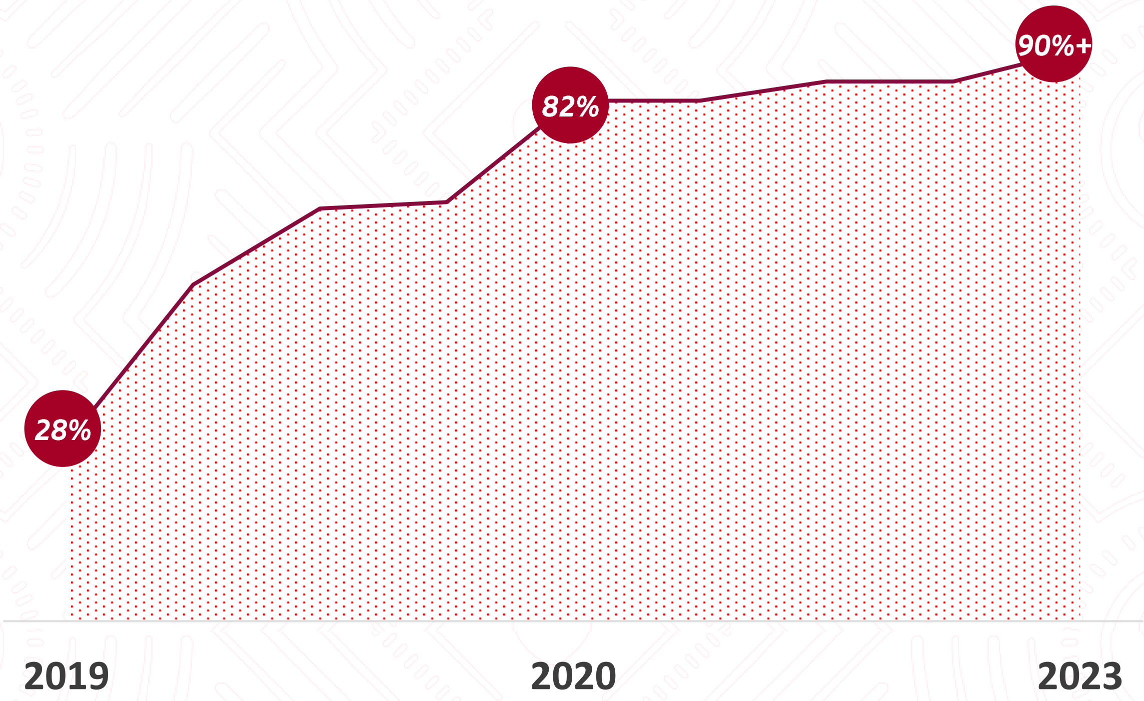
Momentum Drivers

- Strengthening the core businesses
- New businesses materially contributing to overall growth
- Diversification towards capital light revenue streams
- Significant balance sheet growth

Notes
1. GTR - Growth, Transformation and Returns Strategy 2. Market Share for 2023 as at Q1 2023

On Momentum: We are achieving significant milestones with our brand building efforts for local relevance

Brand Awareness score



Other Scores

#1 *Most Reputable Financial Institution*

#1 *Most Trusted Bank*

Our efforts are being recognized by external stakeholders in areas of

1. Asset Finance
2. Retail Banking
3. Product Innovation
4. Trade Financing
5. Agency Banking
6. Excellence in digital banking
7. API Initiative of the year

Notes
1. Brand score derived from GlobeScan report 2023

On Momentum: We continue to embed sustainability at the core of our strategy

Our Framework

Our High Impact SDG's

Delivering our Role in Society through Four Pillars

Environment

- **Robust Climate risk management framework**
- **Biodiversity** restoration - target to plant 1.4M this year
- **Climate finance:**

– KES 10.6B advanced to renewable energy

-KES 25B allocated to climate finance

Social and Economic Pillar

- **Education and Skills -** 15,000 youth trained this year on ready to work, over 245k to date
- **Financial Inclusion –** KES 9.3B advanced through Timiza, 65B to date
- **Diversity and Inclusion:**

i. **50% of women in management position**

ii. **12% of suppliers are marginalized groups**

iii. **10K+ Women in business proposition**

Governance and Reporting Pillar

- Sustainability framework retooling
- Published our first TCFD (Task force on climate related financial disclosures report)

Thought Leadership Pillar

First bank to achieve IFC Edge certification in Kenya

-80+ Absa properties assessed through Edge

-31% energy savings to-date

-30% water use savings

On Prudence: We are navigating a persistent complex operating environment with addressable risks and opportunities

Headwinds

1. Inflation: While inflation has been elevated, it is gradually easing into the target band

2. Currency: Even though there have been headwinds, the government has put various measures to ensure the currency is resilient

3. Interest Rates: The interest rates remains high across the globe as governments continue to manage inflation.

Tailwinds

1. Introduction of Risk Based Pricing to increase accessibility to credit
2. Consumer confidence and resilience
3. Expected better harvest season following adequate rains may alleviate inflationary pressure
4. Steady diaspora remittance inflows supporting the current account and the stability of the exchange rate
5. Economy has been resilient against severe drought and challenging external environment and projected to grow

Our Response

1. Working closely with our clients to align their goals with prevailing market dynamics to ensure business continuity
2. Robust risk mitigation and monitoring strategies which include provisioning and collections
3. Leverage on opportunities presented by the growing economy for instance good quality wholesale assets

On Transformation: After exceeding expectation with our GTR[1] 2017-2022 strategy, we are commencing the next phase of transformation

Our Transformation into the next horizon is anchored on six areas....

A Robust Retail Expansion Strategy to Scale our Business	Partner of Choice for SMEs	A Regional Powerhouse in Corporate and Investment Bank	A Digital Leader	Most Loved and Trusted Brand	Employer of Choice
Grow our branch and agency network to be presence in every county	Scale our financial/non-financial offering for SMEs to support economic growth	Leverage regional capabilities to support client ecosystems	Accelerated investments and partnerships with fintechs/Open APIs	Locally relevant customer solutions and experiences	skilled, engaged colleagues, consistently delivering for customers

Notes
1. GTR - Growth, Transformation and Returns Strategy

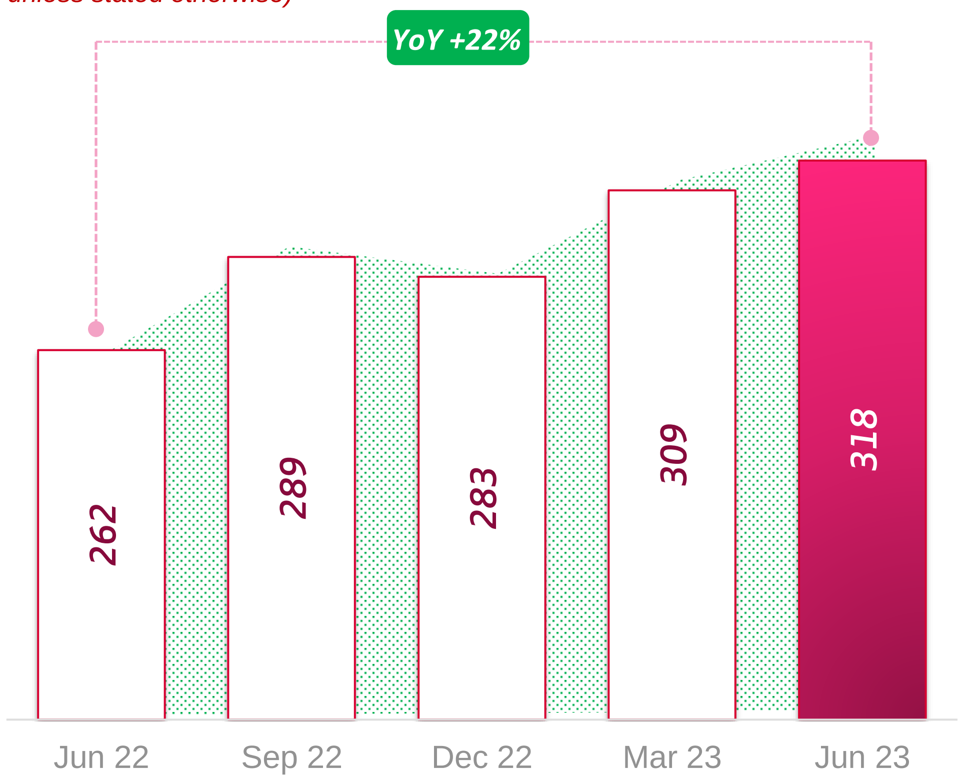
Financial Performance

Yusuf Omari
Chief Financial Officer

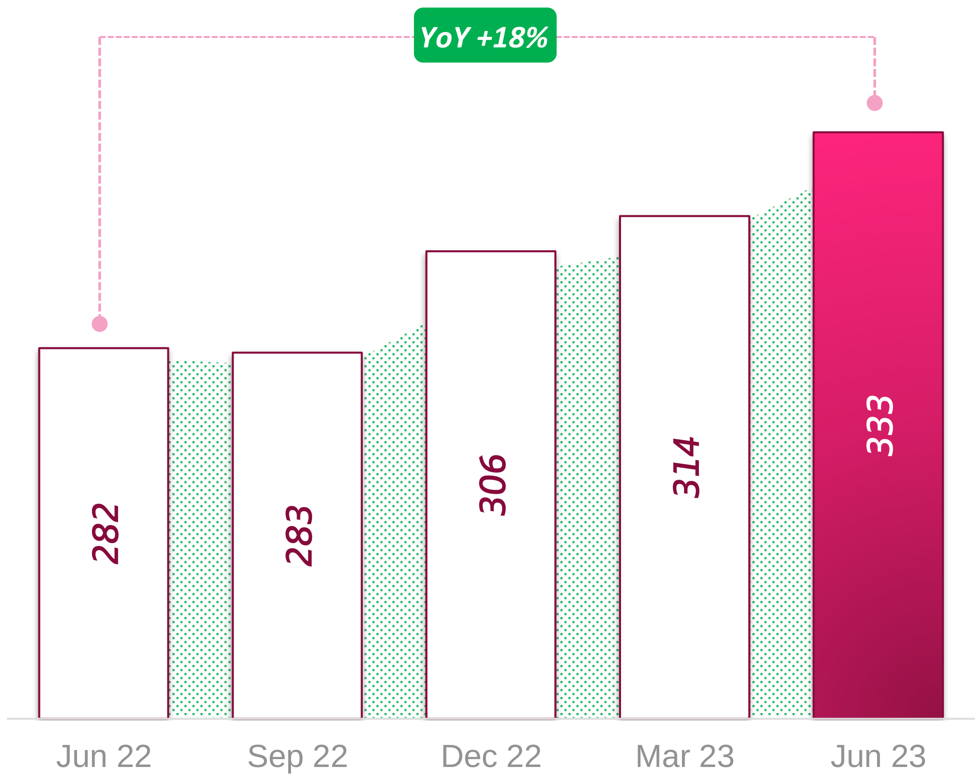
Bolstered balance sheet: Growth across all our businesses with diversification from a product and currency perspective

Customer Loans and Advances

(In KES bn unless stated otherwise)



Customer Deposits



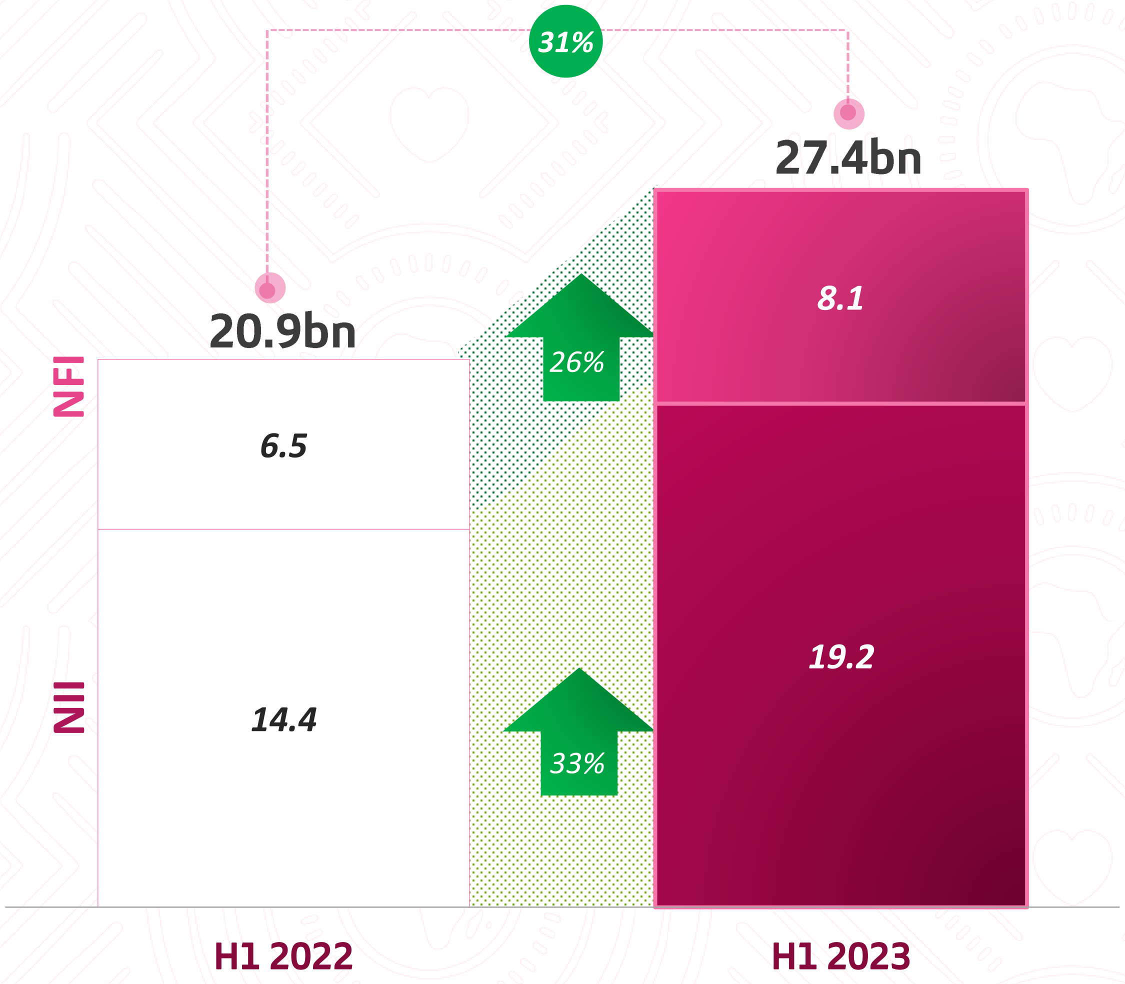
- Diversified growth driven by mortgages, secured lending and trade loans in corporate and business bank
- 2/3 of our balance sheet is local currency denominated and largely insulated from currency fluctuations

- Focus is on attracting **cheaper deposits** to lower the cost of funding
- Cost of funds 2.9% (2022 – 2.4%)

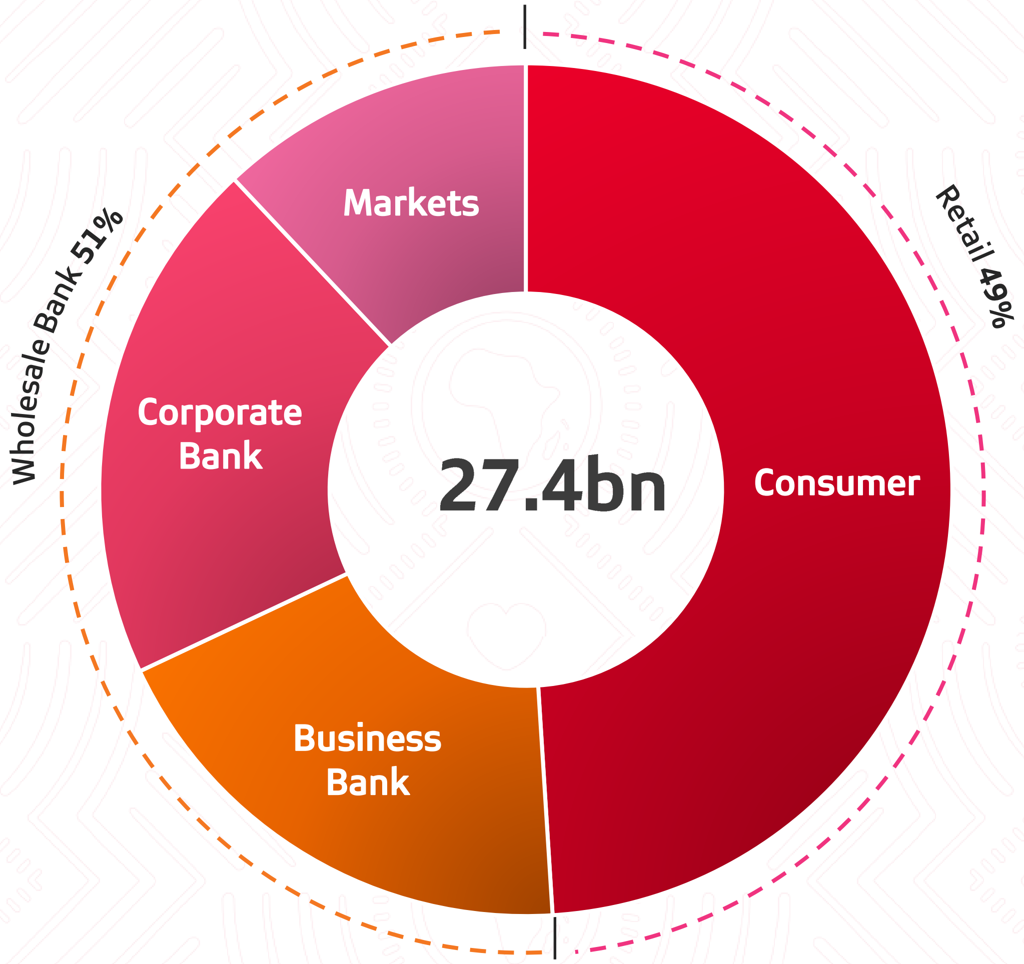
Significant momentum in revenue: Diversified growth of 31% with New Businesses materially contributing to the growth

Revenue Diversification: NII and NFI

(In KES bn unless stated otherwise)



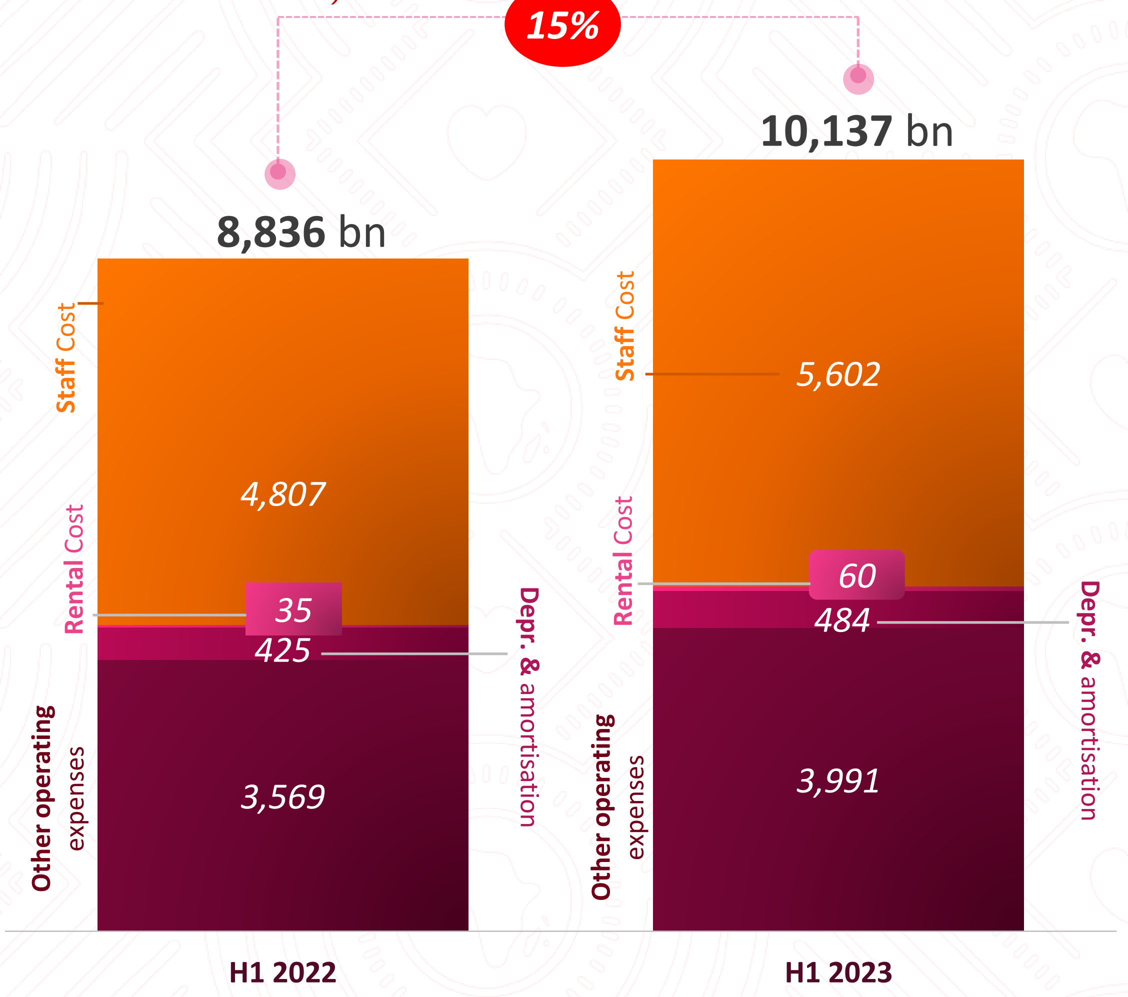
Revenue Diversification by business



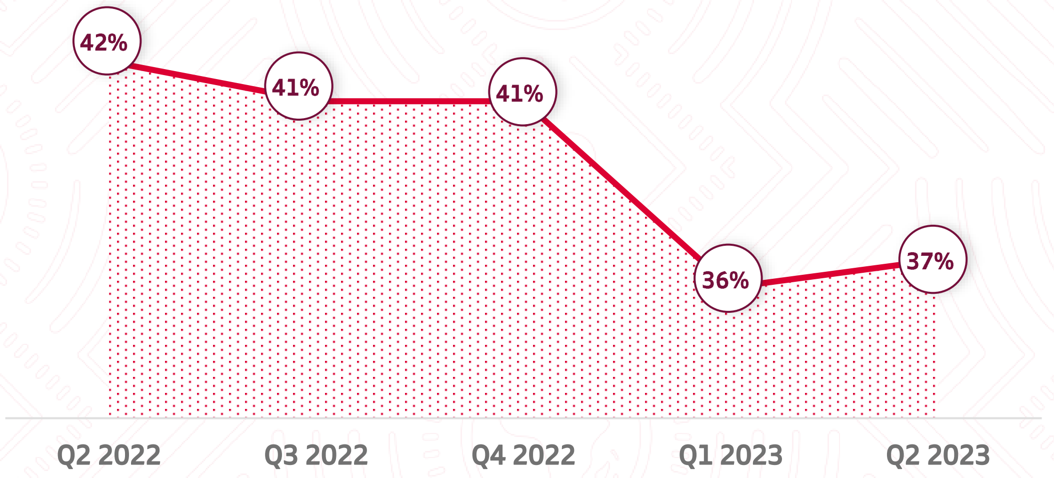
Sustained improvement in efficiency: Our efficiency levels improved to 37% despite increase in costs, we are sustaining investments to support future growth

Total Cost growth from inflation and investments

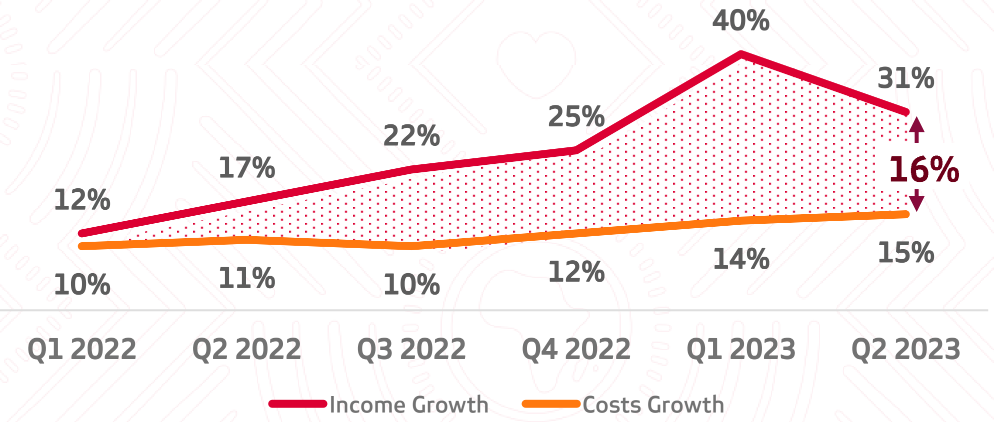
(In KES bn unless stated otherwise)



Improved **Cost to Income Ratio**



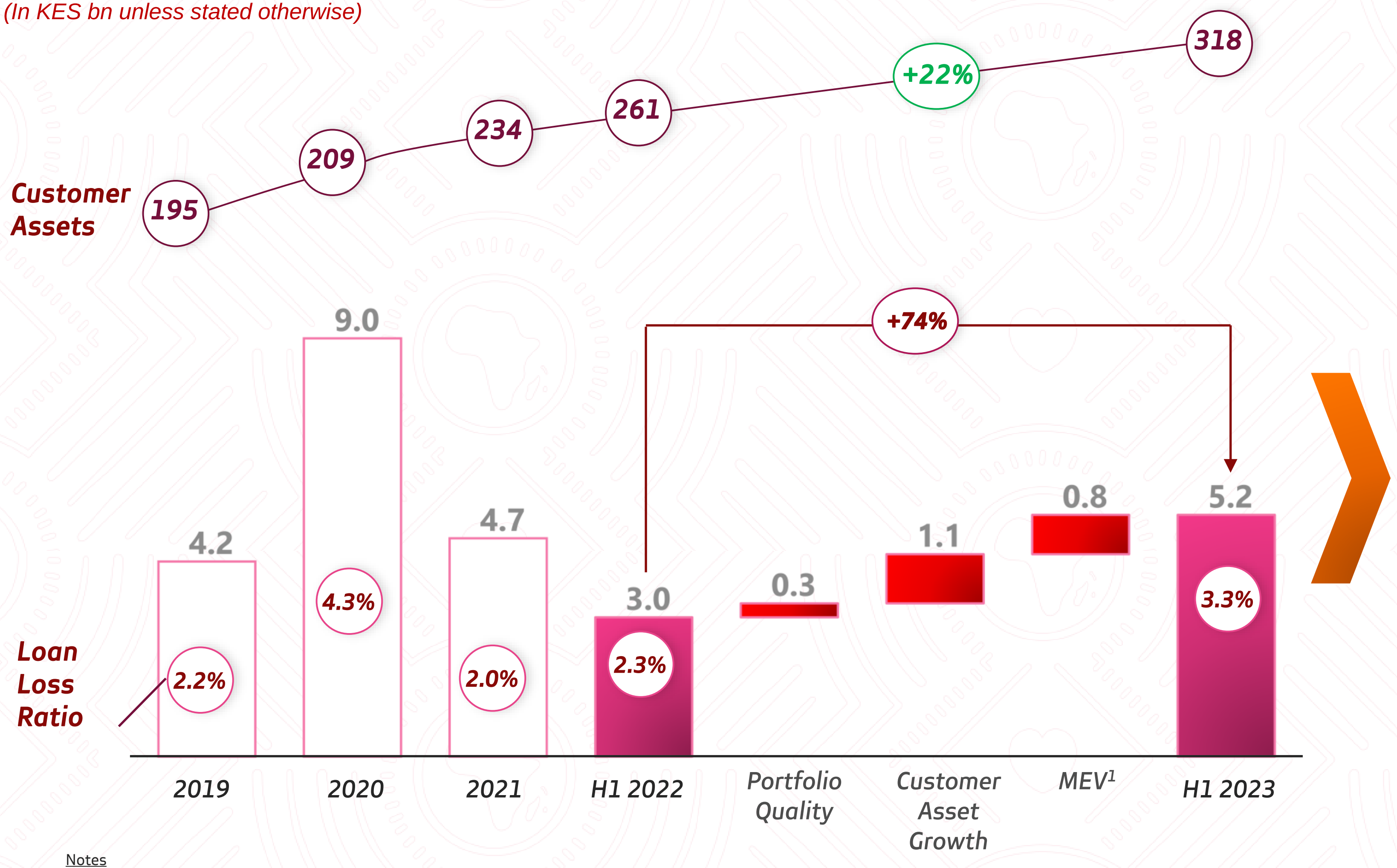
…with **Double digit JAWs** as at H1 2023



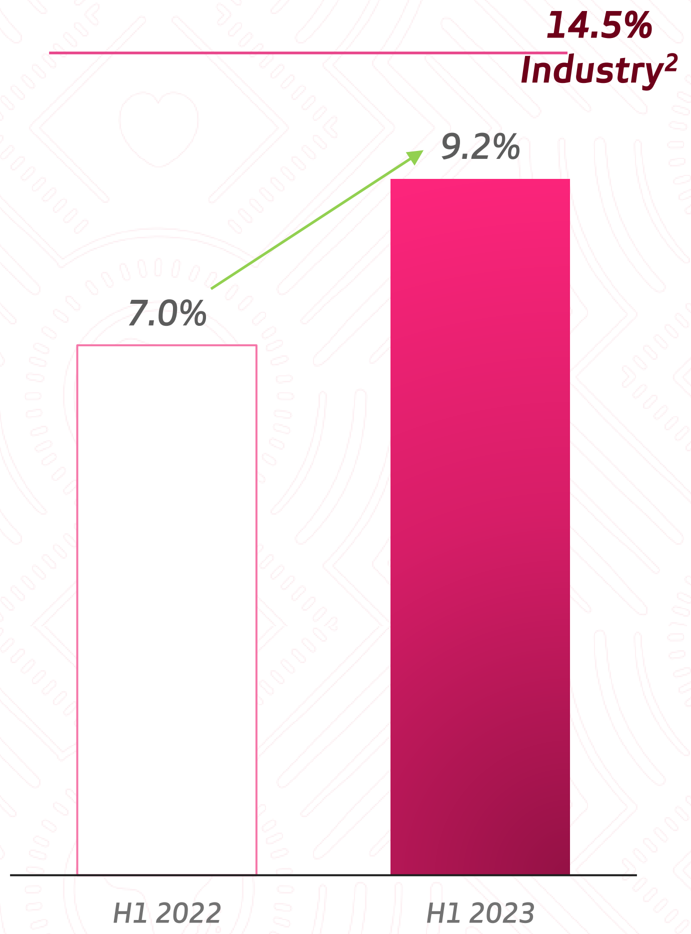
Resilient balance sheet: Sustaining portfolio quality while growing balance sheet in a tough operating environment

Impairment relative to growth

(In KES bn unless stated otherwise)



Gross NPLs Ratio



Notes
1. MEV – Macro Economic Variables, Loan Loss Ratio at 2.7% excluding MEV
2. Industry gross NPLs (Non-Performing Loaning) as at June 2023. Industry Coverage Ratio as at Q1 2023 at 62% with Absa coverage ratio at 69%

Accelerated top-line driven profitability and balance sheet growth

(In KES bn unless stated otherwise)

P&L Indicators	H1 2022	H1 2023	Comment
Income	20.9	27.4	31%
Net Interest Income	*14.4*	*19.2*	*33%*
Non Funded Income	*6.5*	*8.1*	*26%*
Operating Costs	(8.8)	(10.1)	(15%)
Impairment	(3.0)	(5.2)	(74%)
Profit Before Tax	9.1	12.1	32%
Profit After Tax	6.4	8.3	32%

Balance Sheet			
Customer Assets	262	318	22%
Customer Liabilities	282	333	18%
Total Assets	445	504	13%

Cost Income Ratio showing marked improvement with profitability supporting better Return-on-Equity

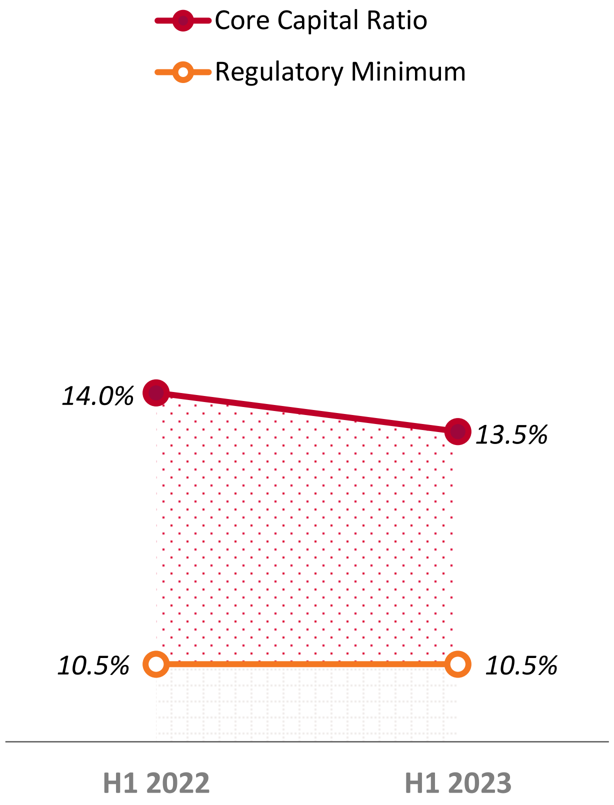
Indicators	H1 2022	H1 2023	
Cost to Income Ratio	42%	37%	Marked improvement (500 bps)
Loan Loss Rate	2.3%	3.3%	Increased due to the current macro-economic environment
Yield on Loans	10.4%	12.9%	Impact from the increased CBR[2]
Cost of Funds	2.4%	2.9%	Driven by higher rate cycle
ROE[(2)]	22.6%	26.3%	Recovery in ROE[1] driven by better earnings and Optimization of capital

Notes
1. ROE – Return on Equity
2. CBR – Central Bank Rate

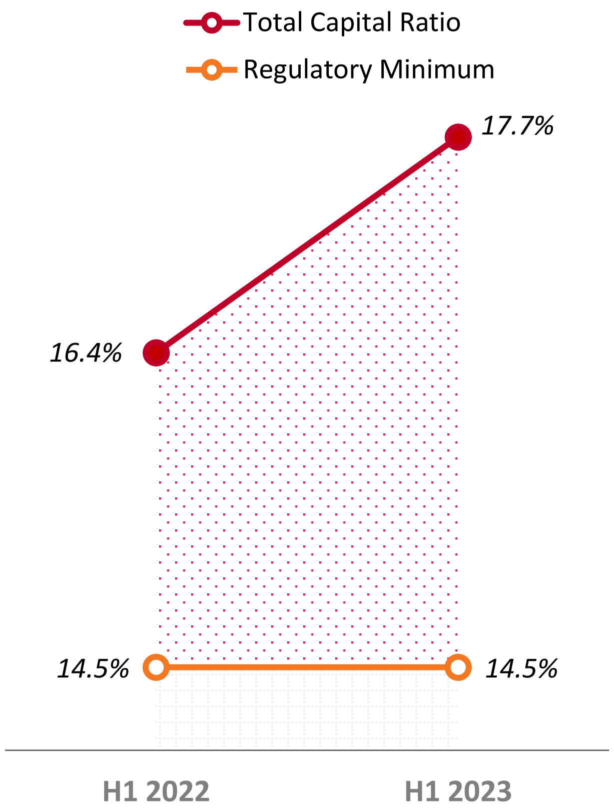
Strong capital and liquidity ratios: Providing capacity to support growth ambition and capital distribution with an interim dividend

Strong capital position allows capital distribution with an interim dividend, The Board has approved Kshs.0.2 per share

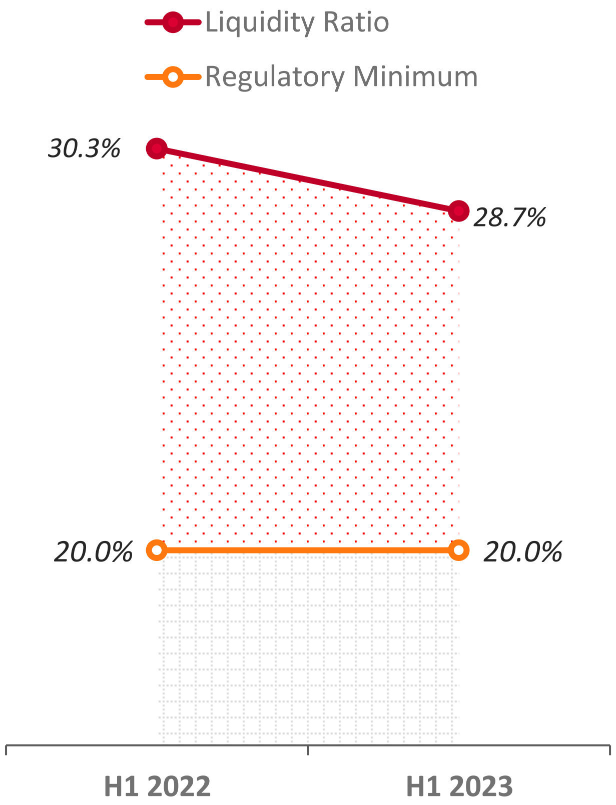
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



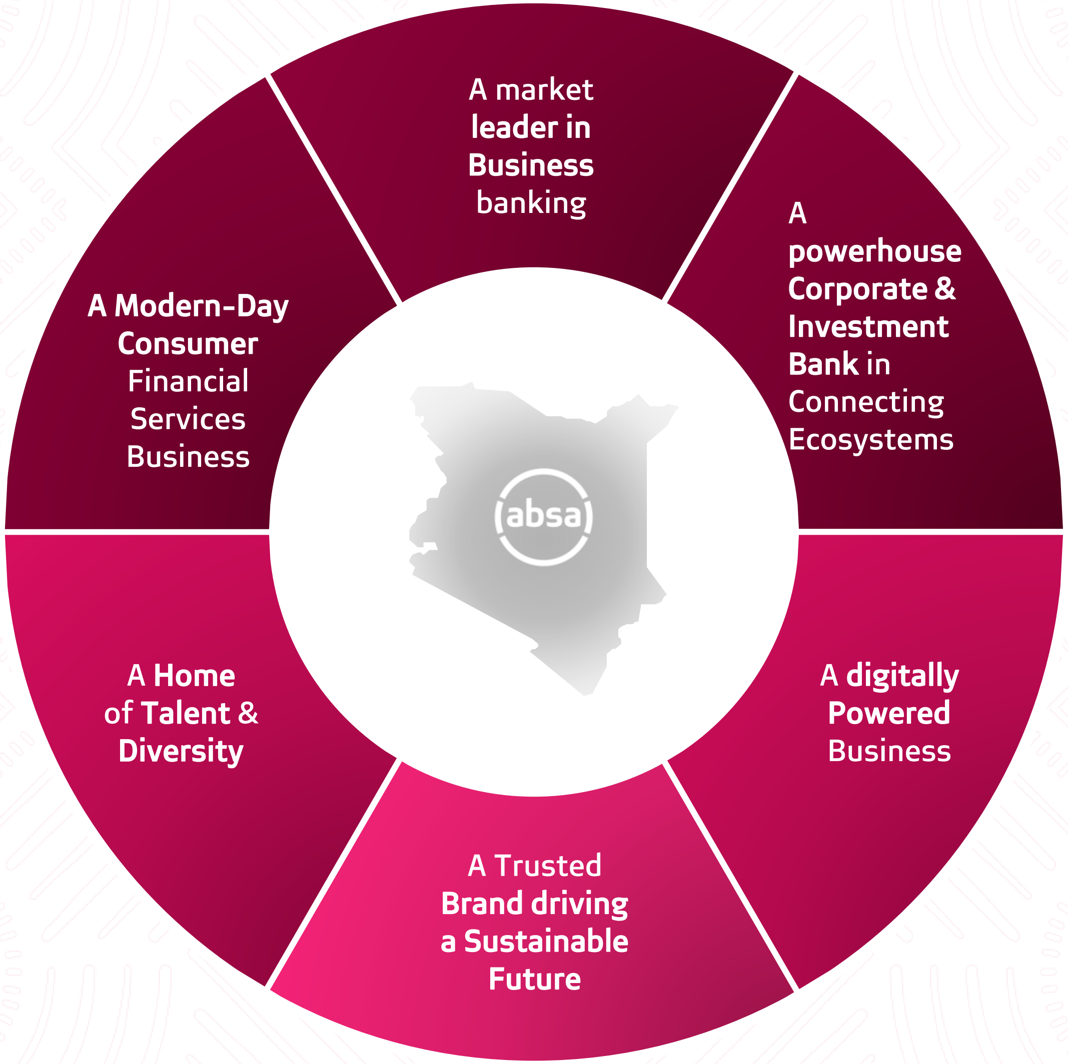
Strategic Outlook and Guidance

Moses Muthui
Chief Strategy Officer, Absa
Finance Director, Absa Corporate & Investment Bank

Next Horizon Strategy: Our goal is to build a business that consistently outperforms the industry, through three priorities and three enablers

3 Priorities

3 Enablers



Our Three Strategic Priorities Guide our Desired Strategic State

Three Strategic Priorities	...Strategic Context	...Strategic Response	...Measure of Success
1 A Modern-Day Consumer Financial Services Business	Kenya has c.40mn people accessing financial services, with the consumer segment remaining the most attractive (and profitable) revenue pool for players willing to drive scale through mobile-first and mobile-only	We will aim to strongly grow and diversify our conventional retail business while evolving Timiza into a standalone mobile only financial services business	A Robust Retail Expansion Strategy to Scale our Business
2 A Market Leader in Business Banking	The SME segment presents a market opportunity of over 7 million and supports more than 40% of GDP and 80% of employment. This segment remains cyclical but resilient through varied economic periods	We will aim to expand our product offering (and adjust our risk appetite in-line with economic cycles) for growth, supported by expanding both physical and digital distribution power	Partner of Choice for SMEs
3 A powerhouse Corporate & Investment Bank in Connecting Ecosystems	As the global & multinational business case diminishes, a greater opportunity emerges in local and local-adjacent markets, where those who win will have to offer more than balance sheet to Corporate Clients	We will aim to regionalize our Corporate and Investment Banking approach, while investing towards helping our clients serve their ecosystems seamlessly. At the strategic level, we will seek to take our clients into new horizons through advisory	A regional powerhouse in corporate and investment banking driving primacy

Our Three Enablers Guide our Investment Approach

Three Strategic Enablers	...Strategic Context	...Strategic Response	...Measure of Success
1 A digitally Powered Business	The 4IR[1] will create natural winners and losers in financial services, yet those who win will retain open preferences for customers at the front-end, while fully automating the back-end and applying advanced technologies for safety	We will aim to modernize our core technology chassis, while executing a digital transformation program to support a two-speed model for our business. We will do this while opportunistically expanding our physical distribution format	A digital leader
2 A Trusted Brand Driving a Sustainable Future	Sustainability has become the modern center-bolt for brands, influencing their long-term strategic choices as well as immediate actions. Looming crises such as climate change have served to deepen emphasis on sustainability practices. Organizations have thus shifted their practices to generate value to shareholders while concurrently seeking to positively impact the people, communities, and surrounding environments	We will aim to build an always-on omnipresent brand that drives a sustainable future by being a Force for Good in the communities in which we operate, while building relevance, consideration and connection with our customers, colleagues and stakeholders that will ultimately lead to brand advocacy and loyalty	The most loved and trusted financial services brand
3 A Home of Talent & Diversity	While financial services remains a people business the advent of COVID-19 and emergence of NextGen's shifted the workforce, the workplace and the dynamic of work	We will aim to build a diverse workforce a hybrid workplace, and dynamic formats of work, in a way that attracts the very best and talent, that also mirrors the market we serve. This is because it takes diverse talent to win and our people are our strength	Employer of choice supported by a vibrant culture

Notes
1. Fourth Industrial Revolution

Guidance: Our Strategy Supports A Positive Medium-term Guidance

Principal financial metrics	...Medium term target
Growth	Revenue market share above 10%
Efficiency and re-investment Capacity	Cost-To-Income Ratio of c.45%
Shareholder Returns	Return on Equity above our Cost of Equity by 5%
Balance Sheet Quality	Better than industry average portfolio quality (NPL ratio)

Disclaimer

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Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

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